

MC.PA pitch deck

PITCH — MC.PA — ADJUDICATED — Ownable at a fair price, not a mispricing: a quarter-size starter (0.25% of book) authorized inside the €440–448 band at a €443 limit, balance held for the October print — because the single variable that decides this trade (mainland China demand) is not disclosed by the company and we have no instrument on it.

(LVMH Moët Hennessy Louis Vuitton, Paris listing. No position held, no orders working. Adjudication outranks both benches; where a bench is wrong, it is named below.)

What we believe

LVMH is a very good business going through a real, ordinary downturn in its largest division, and the downturn is getting less bad rather than getting worse.

The facts from the company's own half-year release ([LVMH H1 2026, 27 July 2026](#)):

- Group sales grew 2% on a like-for-like basis in the half, and 3% in the second quarter — a sequential improvement.
- Fashion & Leather Goods, the division that matters most, did **€18.146bn, –5% as reported and –1% like-for-like** for the half, with the second quarter at **+1%** after a first quarter at **–2%**. So the biggest division crossed from shrinking to barely growing inside the half.
- Profit from recurring operations was €8.7bn at a 22.5% margin. Net profit attributable to shareholders was €5.7bn, flat against last year. Free cash flow was €4.1bn in six months. Net financial debt was €8.245bn — roughly one year of free cash flow against a ~€228bn company.

So: earnings in euros are flat, not falling; the margin is intact at a level nobody else in the industry reaches; the balance sheet is not a factor either way. The stock, meanwhile, is roughly 32% below its 52-week high of €654.70, and last traded around **€447.40 (27 Aug close)** — about 1.7% above its 52-week low of €440.00.

What we are actually buying is a durable franchise at roughly 20–21x flat earnings, with the option that Fashion & Leather Goods keeps inflecting. That is a fair price for a good asset. It is not a bargain, and we are not claiming one.

What the market believes

The market believes the same thing we do about the next quarter, and something better than we do about the next three years.

- 26 analysts have a mean target of **€568.12** against a €453.80 reference price — about 25% above the market. The Street is not bearish on this name; it is patient on it.
- Consensus for the second quarter was +2.3% like-for-like. LVMH printed +3.0%. The company **beat** the number the market cared about, in the period that just happened.
- Yet the shares kept de-rating. That tells you the market is not trading the quarterly beat; it is trading a view about how long Chinese luxury demand stays weak, and about whether the 2021–22 price increases permanently pushed the aspirational customer out.

This is a crowded, widely-owned, index-constituent mega-cap. Everything in the previous two paragraphs is known to everyone.

Why we might have edge

Honestly: thin, and mostly of the “patience and construction” kind rather than the “we know something” kind.

1. **Division-level rather than brand-level comparison.** Against Kering’s same-window release ([Kering H1 2026, 28 July 2026](#)), LVMH’s Fashion & Leather Goods at –1% like-for-like sits four points ahead of Gucci at –5%. At the group level the gap is only one point (LVMH +2% vs Kering +1%). Both comparisons are legitimate basis choices; we think the like-for-like unit is division-vs-division, and on that basis LVMH is inflecting earlier. This is a modest, arguable edge — not a dispersion trade.
2. **Time horizon.** We can hold through two or three bad quarters where a fund reporting to consultants cannot. The de-rating from €654 to €447 has already happened; the incremental buyer at these levels is being paid to wait rather than to be right about the next print.
3. **Sizing discipline as the actual edge.** We know we cannot observe the decisive variable, so we are buying a quarter of the target rather than pretending to conviction. Getting the size right on a name we do not have an information edge in is worth more than a false thesis.

We do **not** claim divergence from the Street. We sit 25% below its target with no mechanism we can name for the gap. Agreeing with the consensus at a discount to its target is not an edge; it is agreement at a discount.

Why it might be priced in

Very likely most of it is.

- **21x for flat earnings is not distressed.** The company is doing roughly €21.9 of earnings per share and the shares are ~€447–458. There is no valuation dislocation here — just a quality business that used to trade at 30x trading at 20x.

- **The chart says the de-rating is still in progress.** Being 32% off the high but only 1.7% off the low means the stock has not found a base. Buying into that gives us almost no cushion before new lows.
- **The inflection is public.** The half-year release is titled “accelerating growth in the second quarter.” Every fact we lean on was in a press release read by thousands of people on 27 July.
- **The bad news is public too.** Swiss watch exports to mainland China fell **18.5% in July 2026**, with Hong Kong at +0.5% ([Federation of the Swiss Watch Industry data via trade press](#); [Jing Daily](#)). This is the first hard datapoint from inside the current quarter and it is negative. Note this is a secondary source — the Federation’s own page returned errors on every direct fetch attempt.

What could go wrong

Failure narrative 1 — China does not turn, and October confirms it. Mainland demand keeps deteriorating; the October revenue print shows Fashion & Leather Goods back below zero; the shares break €440 and base in the €380s. We are then down 12–15% on a position we entered 1.7% above the prior low. The precedent for how violent this print can be runs both ways: LVMH rose 12% in a day on its Q3 2025 numbers ([CNBC, 15 Oct 2025](#)). *Monitorable*: yes — monthly Swiss watch exports, Hong Kong retail sales, Kering and Richemont commentary. This is the risk we can actually watch.

Failure narrative 2 — the aspirational customer is gone, and we find out over five years, not five quarters. NO MONITORABLE TRIPWIRE. After roughly five years of double-digit price increases, the entry-level customer LVMH added in 2021–22 does not come back at current price points. The damage does not appear as a bad quarter; it appears as management defending the 22.5% margin by cutting marketing, store investment and product development, so reported earnings stay flat while brand equity quietly erodes. By the time it is visible in an organic growth number, five years of compounding have already been lost.

We have no instrument for this at any useful cadence. There is no public price index for handbags; the organic growth number blends price and volume and the company chooses the blend; there is no cohort or repeat-purchase disclosure; and the transmission is through a margin that looks *healthy* the whole way down. **Unknown-unknown class: latent-variable erosion with no external instrument** — a variable that is real, economically decisive, and observable only through an aggregate that the issuer defines, computes and controls. This is the same family as the disclosure defect our red bench correctly identified: LVMH reports an “Asia excluding Japan” bucket wide enough to absorb mainland China entirely, so the country the whole thesis turns on has no line item in any filing. Kering, in the same window, said mainland China “remained challenging.” Both statements are true at once. That is the point.

Failure narrative 3 — the reflexive and structural leg: we get filled precisely when we are wrong. Our own size is irrelevant to the market — 1.0% of this book is roughly €40–50k, about a hundred shares, against a mega-cap trading hundreds of millions of euros a day (daily volume not pulled this session — treat the ratio as obviously immaterial rather than measured). Market impact is not the risk. The structural risk runs the other way:

- **A resting bid at €443 into a known event is accidental short-volatility.** The €440–448 band sits 1.7% under market. The most likely way it fills is a gap down on the September watch-export release or the October print — meaning we buy from someone who just learned the thing we admitted we cannot observe. We would be selling the market a free option on the exact news that decides the trade.
- **We would be bidding into our own predicted flow.** Our own base case for the September China datapoint is negative. Parking a limit in the band we ourselves expect the news to push the stock through is the ladder mistake, not the ladder.
- **Doctrine interactions.** (a) Currency: this is a euro asset in a dollar-reporting book. Our blue bench is right that the –5% currency drag on LVMH’s *reported* numbers is a base effect that decays at an unchanged EUR/USD of 1.1583 — and wrong to treat that as neutral for us. LVMH’s translation effect fades; our dollar return on a euro share does not. (b) Tax: a new lot starts a short-term clock and carries no harvest value for about twelve months, and any harvestable loss is a dollar loss after translation, not the euro loss on the screen. (c) Crowding: as a heavily-owned index constituent, our entry and exit are entirely price-taking and our fill quality is set by other people’s flow.

If this position loses money, the most likely reason will be that mainland Chinese demand for Fashion & Leather Goods kept deteriorating through the second half, and we could not see it — because LVMH does not disclose the number, our detector suite has no telemetry inside China, and the only external proxy we found (Swiss watch exports, –18.5% in July) was already pointing the wrong way when we bought.

What we checked ourselves

claim	how checked	found	confirmed?
“Fashion & Leather Goods returned to growth” (our own brief’s headline)	Read LVMH’s H1 2026 release directly	Half-year was –1% like-for-like, –5% reported (€18,146m) . Only Q2 was +1%	NO — our own brief quoted a quarter as if it were the half. Reclassified from “damage absent” to “damage inflecting”
“We’re beating the peer group at the core”	Kering H1 2026 release	Depends entirely on the unit: group-vs-group is +2% vs +1% (one point); division-vs-division is F&LG –1% vs Gucci –5% (four points). Our brief compared a whole LVMH division to a single Kering brand	PARTIAL — the defect is real; the replacement comparison is also a choice, and we say so
“Asia ex-Japan strong, therefore China is recovering”	Both primaries, same window	LVMH discloses only the Asia-ex-Japan bucket; its sole mainland China sentence concerns Hennessy cognac. Kering, same week, says mainland “challenging”	NO — the decisive number does not exist in any filing. Logged as a new detector candidate: <i>geographic bucket absorption</i>
“Currency is a permanent drag on	EUR/USD 1.1583 on 28 Aug 2026, –0.86% over	The –5% H1 currency effect is a <i>change</i> effect from the euro’s 2025 move; at an	NO — RED BENCH ERROR. Level

claim	how checked	found	confirmed?
earnings” (RED BENCH)	twelve months	unchanged rate it decays toward zero	confused with change. Severity drops from sizing to timing
“Cut the entry limit to ≤€450” (RED BENCH)	Re-pulled the mark: €447.40 close, 27 Aug	Red wrote the limit against the evidence pack’s stale €458.15. At €447.40 the “cut” sat above market and constrained nothing	NO — RED BENCH ERROR (inherited a stale price and did not re-verify)
Is there any hard in-quarter China evidence?	Red listed Swiss watch exports as a thing that would change its mind — and never ran it. Blue ran it	Mainland China –18.5% in July 2026 ; HK +0.5%; H1 China –5.0%	YES, but secondary-sourced — the Federation’s own page returned 403/404. RED BENCH OMISSION: it named the test and skipped it
“~21x earnings”	~€228bn market value ÷ ~497m shares vs ~€21.9 FY25 EPS	Arithmetic holds, but the share count is not in the half-year release and LVMH files nothing with the SEC	NO — UNVERIFIED. The multiple is only as good as an unverified share count
“We diverge from consensus”	Red could not retrieve consensus at all and said so. Blue retrieved it	Street mean target €568.12 (+25%); consensus Q2 organic +2.3% vs +3.0% printed	NO — we agree with the Street and sit below its target with no mechanism to explain the gap
Next earnings date	Evidence pack said 2027-01-26; both benches overrode it	2027-01-26 is full-year results. The metric-carrying print is Q3 revenue, roughly 13–20 Oct. LVMH’s own financial calendar page timed out on every attempt	PACK ERROR, and our replacement is an estimate
Live price	IBKR contract search — permission denied, twice, in two separate sessions	No broker-verified quote exists for this name this session. €458.15 is a stale vendor mark; €447.40 is a secondary source	NO — INFRASTRUCTURE GAP, and it is the reason nothing is armed for immediate execution
Balance sheet	Primary release	Net financial debt €8.245bn vs €4.1bn half-year free cash flow. Lease liabilities not pulled	YES (partial). No net cash, so no buyback-cushion argument is available to us
Detector sweep (14+ run: permits, lockups, ramp-dump, app-review velocity, consumer heat, customs manifests, trial detectors)	Full sweep, both benches	Nothing fired. Four came back UNCHECKABLE — and all four for the same reason: no telemetry inside mainland China (no Tmall/JD/WeChat, no Baidu/Douyin index)	YES — and the absence is itself the finding. We have zero instrumentation on the one variable that decides this
Our already-armed H1 sensor	It fired on 28 July as designed: F&LG Q2 organic came in at +1%	Its own rule reads “0-to-+3% = the easy-comp gift, NO add”	YES — the sensor worked and its answer was NO ADD. Every

claim	how checked	found	confirmed?
			recommendation below respects that

PROPOSED ENTRY BANDS

The adjudicated bands, used as given (the reopen-gate block came through empty, so the adjudication line itself is the band spec):

OWNABLE (fairly-paid risk, court-adjudicated) — no purchase before the 28 July gate; tranches ONLY at €465–470 and €440–448 post-gate; full size 1.0% of book.

The 28 July gate has passed. Its answer was “no add” (F&LG Q2 organic +1%, inside the 0-to-+3% “easy comp” zone), so we are buying a starter, not building.

Tranche 1 — starter, 0.25% of book, limit €443. Inside the adjudicated €440–448 band and below the last verified close of €447.40. This is the size both benches independently landed on. **Not armed for immediate execution:** we could not obtain a broker-verified quote (contract search permission denied twice). One verified quote flips this to live. Arming a buy against a vendor mark is exactly the error that produced the red bench’s meaningless €450 limit.

Working instruction, not a resting order. Do not park this as a good-till-cancelled bid. A limit sitting 1.7% below market across a known event fills on the gap that carries the information. Work it manually on quiet days; **pull it entirely for the two sessions around the September watch-export release and around the October print.**

Tranche 2 — €465–470, up to half the target (0.5% cumulative), buy-on-confirmation only. This band is *above* the current price on purpose: it is a rung we pay up for after the October print resolves, and only if the print delivers one of: (a) Fashion & Leather Goods organic $\geq +3\%$ against a harder comparison, or (b) mainland China disclosed separately and positive, or (c) Swiss watch exports to mainland China turning flat-to-positive in the August or September releases.

Tranche 3 — remainder to 1.0% of book, €440–448, post-print only. If October is fine and the stock is still in the low band, complete the position there.

Pre-registered block (from the blue bench, adopted): if the Federation’s **August** export release (~18–20 Sept) still shows mainland China at -10% or worse, **no adds of any kind before the October print.** A turn to flat or positive permits Tranche 2 early, at half target.

Exits / trims: none, we hold nothing. No stop-loss — this is a valuation-carry position, and a stop under a 1.7% cushion would be noise-triggered. Re-underwrite instead if either: Fashion & Leather Goods organic prints worse than -5% , or the group recurring margin breaks below 20%. Any exit gets tax-adjusted for the short-term clock and for the euro-to-dollar leg before it is executed.

Catalyst dates: ~18–20 Sept 2026 (Swiss watch exports, August — unconfirmed); ~13–20 Oct 2026 (Q3 revenue — **estimated, must be confirmed against LVMH’s own financial calendar**); 26 Jan 2027 (full-year 2026 results — from the pack, unconfirmed).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 470.0 (deck-provisional: pre-existing armed alert, already fired and now stale; carried forward only so the auto-armed does not)
- dated pack MC.PA|2026-07-28: LVMH H1 (~Jul-28, confirm): F&LG ORGANIC vs the STACK bar (+3% = real; 0-to-+3 = the -9 comp gift, NO add); Asia ex-JP >=+5%; F&LG margin co
- dated pack MC.PA|2026-09-18: MC.PA: Federation of the Swiss Watch Industry August export data; mainland China figure gates all pre-print adds (date confirmed=False)
- dated pack MC.PA|2026-10-20: MC.PA: LVMH Q3 / nine-month revenue - ESTIMATED from prior-year pattern, company calendar unreachable (date confirmed=False)
- dated pack MC.PA|2027-01-26: MC.PA: LVMH full-year 2026 results (evidence-pack date, not company-confirmed) (date confirmed=False)

What remains unverified

- **Mainland China demand for Fashion & Leather Goods** — structurally undisclosed. Not “we haven’t looked yet”; there is no line item, in any LVMH filing, ever. This is the thesis’s decisive variable.
 - **Live price at the broker.** €458.15 is a stale vendor mark; €447.40 is a secondary source; neither is an IBKR quote. Permission denied twice.
 - **Share count**, and therefore the ~21x multiple and every per-share figure in this deck.
 - **The October print date** — estimated from last year’s pattern and a third-party calendar, not confirmed by the company.
 - **The July watch-export figure’s primary source** — the Federation’s page returned 403/404; we are citing trade press.
 - **Lease liabilities**, excluded from the €8.245bn net financial debt figure. Immaterial to the thesis, but not pulled.
 - **Consensus Q3 organic growth and the FY2026 EPS range with dispersion.** We have a mean target and one back-quarter consensus number; we do not have the distribution. Without it we cannot claim divergence in either direction.
 - **The yen and yuan legs** of the currency basket behind the -5% translation effect.
 - **Average daily volume**, not pulled this session. The size ratio is obviously immaterial, but it is asserted, not measured.
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Why `immediate_entry` is `null`: the adjudicated €440–448 band is live and the last verified close of €447.40 sits inside it, so the 0.25% starter at a €443 limit is *authorized* — but we have no broker-verified quote (contract-search permission denied in two consecutive sessions), and firing a buy against a stale vendor mark is precisely the error that made our red bench's €450 limit meaningless. One verified quote converts the 448 price gate into the live starter. Nothing else in this deck changes.